



CANDIDATE – PLEASE NOTE!
PRINT your name on the line below and return this booklet with your answer sheet. Failure to do so may result in disqualification.

FORM TP 2015105

TEST CODE 01240010

MAY/JUNE 2015

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 01 - General Proficiency

1 hour 15 minutes

27 MAY 2015 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This test consists of 60 items. You will have 1 hour and 15 minutes to answer them.
2. In addition to this test booklet, you should have an answer sheet.
3. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
4. On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

The money that a business receives from the sale of goods or services is called its

- (A) assets
- (B) capital
- (C) income
- (D) resources

Sample Answer

(A) (B) ☒ (C) (D)

The best answer to this item is “income”, so (C) has been shaded.

5. If you want to change your answer, erase it completely before you fill in your new choice.
6. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, go on to the next one. You may return to that item later.

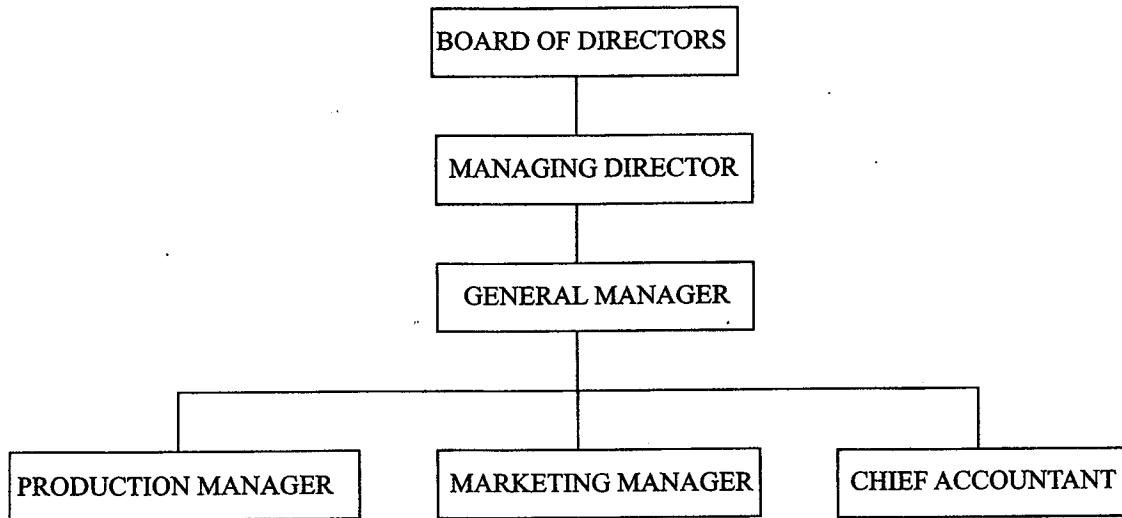
DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

Copyright © 2013 Caribbean Examinations Council
All rights reserved.

01240010/F 2015

1. Barter is BEST described as the
 - (A) purchase of goods and services using cheques
 - (B) process of exchange involving the use of money
 - (C) exchange of goods and services using notes and coins
 - (D) exchange of goods and services without the use of money
2. Which of the following types of business environment is MOST typical of the Commonwealth Caribbean?
 - (A) Corporate state
 - (B) Mixed economy
 - (C) Centrally planned
 - (D) Perfectly competitive
3. Which of the following is NOT an objective of the public sector?
 - (A) Maximizing profits
 - (B) Providing essential services
 - (C) Regulating business activity
 - (D) Promoting economic growth and development
4. The term 'division of labour' can be defined as the
 - (A) organization of tasks in production
 - (B) assembling of goods for distribution
 - (C) separation of tasks to complete a job
 - (D) employment of different types of workers
5. Which of the following is NOT a function of money?
 - (A) Indivisibility
 - (B) Store of value
 - (C) Measure of value
 - (D) Medium of exchange
6. The policies of a company are formulated by the
 - (A) auditors
 - (B) directors
 - (C) managers
 - (D) shareholders
7. Selecting the objectives and the procedures for achieving goals is referred to as
 - (A) planning
 - (B) organizing
 - (C) controlling
 - (D) motivating
8. Which of the following are benefits of written communication?
 - I. Instant feedback
 - II. Provides evidence
 - III. Useful for detailed messages
 - (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) I, II and III
9. Which of the following organizations is LEAST likely to use a management information system?
 - (A) The national bank
 - (B) A shoe-shine shop
 - (C) A department store
 - (D) A beauty supplies outlet

Item 10 refers to the following diagram which shows a section of a typical vertical organizational chart for a manufacturing company.



10. The relationship between the highest level of management down to the various departments is known as

(A) line
(B) rank
(C) staff
(D) flow

11. The MAIN purpose of installing a suggestion box in a company is to get workers' views about

(A) each other
(B) other companies
(C) ways of improving the workplace
(D) ways of improving economic conditions

12. JB Auto Company decided to export car engines from Barbados to Trinidad. Which of the following modes is BEST for transporting the engines?

(A) Air
(B) Sea
(C) Rail
(D) Land

13. Which of the following individuals benefit from having 'limited liability status'?

(A) Franchisees
(B) Shareholders
(C) Ordinary partners
(D) Debenture holders

14. Which of the following are functions of the entrepreneur?

I. Ensuring that workers are unionized
II. Co-ordinating the factors of production
III. Undertaking risks by anticipating demand

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

15. The condensation of the business plan is contained in the
- (A) feasibility plan
 - (B) marketing plan
 - (C) keynote summary
 - (D) executive summary
16. Cash used to secure a loan at the bank is referred to as
- (A) collateral
 - (B) fixed assets
 - (C) current assets
 - (D) fixed deposits
17. The monthly payments collected by an insurance company on behalf of its policy holders are known as
- (A) deposits
 - (B) premiums
 - (C) instalments
 - (D) endowments
18. Which of the following types of cheques allows an individual to receive cash on demand?
- (A) Open
 - (B) Crossed
 - (C) Certified
 - (D) Banker's
19. Kiki sustained burns while at work at a local fast food restaurant. Under which of the following insurance policies is she **LIKELY** to be compensated?
- (A) Public liability
 - (B) Fidelity guarantee
 - (C) Property guarantee
 - (D) Employers' liability
20. Which of the following factors prevents an agreement from being considered a valid contract?
- (A) Consideration
 - (B) Legal purpose
 - (C) Misrepresentation
 - (D) Offer and acceptance
21. The term 'human resources' refers to
- (A) materials and goods made by human beings
 - (B) capital invested by shareholders in a company
 - (C) raw materials used in the manufacture of goods
 - (D) persons available for productive and professional services
22. The movement of educated, skilled people to settle in other industrialized countries is referred to as
- (A) migration
 - (B) brain drain
 - (C) unemployment
 - (D) underemployment
23. The amount of labour available for productive activity is known as
- (A) employment
 - (B) labour force
 - (C) labour movement
 - (D) efficiency of labour

24. Productivity can be measured by
- (A) Inputs
Outputs
 - (B) Inputs
Revenue
 - (C) Revenue
Outputs
 - (D) Outputs
Inputs
25. Which of the following is a product of the manufacturing industry?
- (A) Car
 - (B) Gold
 - (C) Tourist
 - (D) Lumber
26. Product, price, promotion and place are components of a
- (A) market study
 - (B) marketing mix
 - (C) market research
 - (D) sales promotion
27. In the Caribbean, many people are hired for sugar cane farming and very little equipment is used. This industry can BEST be described as
- (A) labour intensive
 - (B) capital intensive
 - (C) having low capital input
 - (D) having high capital input
28. Which of the following terms describes a market consisting of a large number of producers and consumers?
- (A) Oligopoly
 - (B) Monopoly
 - (C) Perfect market
 - (D) Imperfect market
29. Which of the following is an activity involved in marketing a product?
- (A) Issuing bulletins on staff matters
 - (B) Distributing commodities to outlets
 - (C) Publicizing advertisements for new staff
 - (D) Ensuring that workers are given fringe benefits
30. Market equilibrium exists when
- (A) buyers pay reasonable prices for goods
 - (B) sellers are satisfied with the prices paid for their goods
 - (C) at the ruling market price, buyers do not want to add to the stock of goods they already have
 - (D) at current prices, the amount buyers wish to buy equals the amount sellers want to sell
31. Which of the following is NOT a function of the retailer?
- (A) Preparing goods for resale
 - (B) Selling in small quantities
 - (C) Providing a local supply of goods
 - (D) Transporting goods to suitable storage facilities

32. Which of the following gives identity to a specific producer's goods?
- (A) Label
 - (B) Patent
 - (C) Brand
 - (D) Copyright
33. A 'market' in economic terms is defined as
- (A) the business centre of the community
 - (B) a specific place where buyers and sellers meet
 - (C) a place where intangible goods are bought and sold
 - (D) a situation which exists when buyers and sellers influence the price of goods
34. Which of the following operations is an example of sales promotion?
- (A) Warehousing
 - (B) Free sampling
 - (C) Servicing goods
 - (D) Gathering information
35. Which of the following entities can have its shares traded on the stock exchange?
- (A) Partnerships
 - (B) Public companies
 - (C) Private companies
 - (D) Co-operative societies
36. Tom invests his savings by buying shares in a company. From this investment, Tom expects to receive
- (A) profits
 - (B) interest
 - (C) revenue
 - (D) dividends
37. Mr Jones has several bills of fixed amounts to pay each month. His bank manager agreed to pay them monthly from Mr Jones' account. This service, provided by the bank, refers to
- (A) overdrafts
 - (B) letters of credit
 - (C) standing orders
 - (D) acting as trustees
38. Which of the following services is provided by commercial banks?
- (A) Printing money
 - (B) Selling stocks and bonds
 - (C) Controlling the supply of money
 - (D) Accepting deposits from customers
39. A debenture holder is one who
- (A) is paid a fixed rate of interest if the company makes profits
 - (B) must be paid any amounts owing to him in the following year
 - (C) has first claim on any profits and is paid a fixed rate of dividend
 - (D) is entitled to a fixed rate of interest whether or not the company makes profits
40. Investment can be defined as
- (A) the stock of goods in a country
 - (B) additions to the capital stock of a country
 - (C) the amount of money available at a given time
 - (D) the amount of capital owned by the government

41. Which of the following are measures used to protect the environment?
- I. Recycling
 - II. Deforestation
 - III. Water conservation
- (A) I and II only
 - (B) I and III only
 - (C) II and III only
 - (D) I, II and III
42. A 'price control' may be defined as a
- (A) tax on goods and services
 - (B) government ban of imports
 - (C) grant given to producers to reduce their prices
 - (D) government limit on the price of goods or services
43. The success of government's economic policies can be MOST effectively measured by
- (A) an increase in the level of policies
 - (B) an increase in the standard of living
 - (C) a decrease in the level of employment
 - (D) a decrease in the volume of production
44. Which of the following is a function of a Chamber of Commerce?
- (A) Creating employment
 - (B) Protecting the environment
 - (C) Assisting in securing markets for producers
 - (D) Providing financial aid to hurricane victims
45. Which of the following actions by government is MOST likely to lead to an improvement in the standard of living?
- (A) Printing more money
 - (B) Increasing the income tax rate
 - (C) Abolishing taxes on low incomes
 - (D) Giving tax incentives to businesses
46. Which of the following forms of taxation can be classified as 'direct'?
- (A) Income tax
 - (B) Excise duty
 - (C) Purchase tax
 - (D) Customs duty
47. The provision of social services by government does NOT include
- (A) tax refunds
 - (B) health clinics
 - (C) education and training
 - (D) transportation facilities
48. In the recent budget it was reported that Sanford Island is a net importer. This means that its
- (A) exports are equal to imports
 - (B) exports are less than imports
 - (C) balance of trade is favourable
 - (D) balance of payment is favourable
49. A country has a favourable balance of trade when
- (A) it sells more than it buys
 - (B) it buys more than it sells
 - (C) imported goods are cheaper
 - (D) there are no restrictions to trade

50. In calculating 'net national product', depreciation refers to the
- (A) increase in the price level
 - (B) decrease in the price level
 - (C) increase in capital stock value
 - (D) decrease in capital stock value
51. The 'terms of trade' of a country refers to the rate
- (A) at which the country's population grows
 - (B) of turnover of life expectancy due to nutrition
 - (C) of income a country obtains from increasing growth
 - (D) at which one country's goods and services are exchanged for another's
52. The difference between the value of a country's visible and invisible exports and the value of its visible and invisible imports is referred to as the
- (A) balance of trade
 - (B) per capita income
 - (C) balance of payments
 - (D) gross national product
53. Which of the following methods is NOT used to measure a country's national income?
- (A) Output
 - (B) Income
 - (C) Accounting
 - (D) Expenditure
54. Which of the following is NOT a benefit of international trade?
- (A) Producers are able to increase their market size.
 - (B) Political links are developed with other countries.
 - (C) Import restrictions can be imposed on foreign items.
 - (D) A greater variety of goods is obtained from overseas.
55. Which of the following represents the correct stages towards the development of the CARICOM Single Market and Economy?
- (A) CARIFTA → Federation → CARICOM → CSME
 - (B) CARIFTA → CARICOM → Federation → CSME
 - (C) Federation → CARICOM → CARIFTA → CSME
 - (D) Federation → CARIFTA → CARICOM → CSME
56. Which of the following is a feature of economic dualism in the Caribbean?
- (A) Small farming sector
 - (B) Urban-rural migration
 - (C) Rural-urban migration
 - (D) Large manufacturing sector
57. Which of the following terms defines a continuous rise in the general level of prices?
- (A) Inflation
 - (B) Reflation
 - (C) Deflation
 - (D) Depression

58. Which of the following countries are NOT members of the Organization of Eastern Caribbean States?
- (A) Anguilla, Grenada
 - (B) Barbados, Jamaica
 - (C) Montserrat, Saint Lucia
 - (D) Dominica, Saint Vincent
59. The purpose of CARICOM is to
- (A) allow member states to collaborate
 - (B) allow for unrestricted movement of persons among the territories
 - (C) encourage the transfer of technology within the region
 - (D) foster interregional trade and common services
60. Which of the following organizations would settle a dispute among banana-producing countries of the Caribbean and Central America over preferential agreement with the European Union?
- (A) World Trade Organization (WTO)
 - (B) Caribbean Development Bank (CDB)
 - (C) CARICOM Single Market and Economy (CSME)
 - (D) Organization of Petroleum Exporting Countries (OPEC)

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.